Dr. Trading and Profit and Loss Account for the year ended 31st March, 2019 Cr.

Particulars		₹	Particulars		₹
To Opening stock		40,000	By Sales		
To Purchases			Cash	1,60,000	
Cash	56,000		Credit	1,40,000	3,00,000
Credit	74,000	1,30,000	By Closing stock		60,000
To Wages		10,000			
To Gross profit c/d		**1,80,000**			
		3,60,000			3,60,000
To General expenses		24,000	By Gross profit b/d		1,80,000
To Depreciation on machinery		17,000			
To Net profit transferred to capital a/c		**1,39,000**			
		1,80,000			1,80,000

Balance Sheet as on 31st March, 2019

Liabilities	₹	₹	Assets	₹	₹
Capital	2,22,000		Cash		1,42,000
Add: Net profit	1,39,000	3,61,000	Stock of goods		60,000
Creditors		52,000	Debtors		58,000
			Machinery	1,70,000	
			Less: Depreciation	17,000	1,53,000
		4,13,000			4,13,000

Illustration 19

Arjun carries on grocery business and does not keep his books on double entry basis. The following particulars have been extracted from his books:

Particulars	1-4-2018 ₹	31-3-2019 ₹
Plant and machinery	20,000	20,000
Stock	9,000	16,000
Sundry debtors	2,000	5,300
Sundry creditors	5,000	4,000
Cash at bank	4,000	6,000

Other information for the year ending 31-3-2019 showed the following:

	₹
Advertising	4,700
Carriage inwards	8,000
Cash paid to creditors	64,000
Drawings	2,000

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